



April 1, 2026

Andrew S. Johnston
Executive Secretary
Maryland Public Service Commission
William Donald Schaefer Tower
6 St. Paul Street, 16th Floor
Baltimore, Maryland 21202

Re: Case No. 9761 and PC 77; Demand-Side Management Programs, Rate Design Measures, and Distributed Energy Resource Integration in Coordination with the DRIVE Act

Dear Mr. Johnston,

Vehicle-Grid Integration Council (“VGIC”)¹ respectfully provides its comments in response to the distribution utilities’ filings as requested in Maryland Public Service Commission’s (“Commission”) March 2, 2026 Notice of Hearing and Initiating Public Conference 77 (“Notice”).

I. Introduction

VGIC is a 501(c)(6) membership-based advocacy organization committed to advancing the role of vehicle-grid integration (“VGI”) through policy development, education, and research. VGIC supports the transition to decarbonized transportation and electric sectors by ensuring that the value from flexible electric vehicle (“EV”) charging and discharging is recognized, compensated, and aligned with a more reliable, affordable, and efficient electric grid.

¹ VGIC member companies and supporters include American Honda Motor Co., Inc., Ford Motor Company, General Motors, Nissan Group of North America, Bidirectional Energy, BMW of North America LLC, bodeEV, ChargePoint, ChargeScape, Codibly Inc., Critical Loop, dcbel, Eaton Corporation, EnergyHub, EV.Energy, Fermata Energy, Gravity Inc., Mercedes-Benz Research & Development North America, Inc., Orange Charger, Inc., Rivian, Stellantis, SWTCH Energy Inc., Tesla, The Mobility House, Toyota Motor North America, Inc., UL Solutions, WeaveGrid, Clean Power Alliance, Los Angeles Department of Water and Power, Marin Clean Energy, San Diego Community Power, and Sacramento Municipal Utility District. The views expressed in these Comments are those of VGIC, and do not necessarily reflect the views of all individual VGIC member companies or supporters. (<https://www.vgicouncil.org/>)

VGIC appreciates the opportunity to provide comments in response to the electric distribution companies' (EDCs') filings in compliance with the Commission's Notice of Public Hearing and Initiating Public Conference ("PC") 77 dated March 2, 2026.

II. If Pursued, Align EmPOWER and DRIVE Act Programs Through Functional Integration Without Delaying Implementation

The EDCs propose closer alignment between EmPOWER and DRIVE Act programs, including coordination of enrollment, administration, and incentives. VGIC does not oppose this direction but is concerned that these efforts could further delay DRIVE Act implementation. The VGI industry is eager and stands ready to advance programs that unlock EVs as flexible grid resources.

If the Commission chooses to more closely align EmPOWER and DRIVE Act programs, VGIC recommends functional integration, not structural integration. Functional integration means aligning the parts of programs that improve outcomes, such as a common customer enrollment experience, coordinated data and measurement, and interoperable communications and control systems. Structural integration, by contrast, would merge programs into a single framework with unified objectives, metrics, and incentive structures. EmPOWER is designed around energy savings and curtailment-based demand response programs, while the DRIVE Act is focused on dispatchable resources, with an emphasis on EVs as grid resources that can deliver time-sensitive value such as peak reduction, capacity, and distribution system support. These differences lead to distinct performance metrics, timelines, and program designs.

Attempting structural integration risks weakening both programs by forcing EVs and other detachable resources into frameworks that are not designed to capture their flexible, time-dependent value. This could constrain compensation, limit program flexibility, and reduce overall grid benefits. A functionally integrated approach achieves coordination where it matters, while preserving the distinct structures needed for each program to succeed.

III. Implement the DRIVE Act Consistent with Legislative Intent by Treating EVs as Dispatchable Grid Resources to Reduce System Costs

The DRIVE Act provides clear direction regarding the role of EVs in Maryland's energy system. The legislation establishes a framework in which distributed energy resources, including EVs, are expected to support grid operations.

As defined in the Act, “electric distribution system support services” means “the dispatch and control of a distributed energy resource to provide services that contribute to the efficient and reliable operation of the electric distribution system,” including “local or system peak demand reduction, demand response, [and] the avoidance or deferral of a transmission or distribution upgrade or capacity expansion.”² This definition indicates that the Legislature is focused on resources that can be dispatched to meet system needs. The Act further reinforces this framework by recognizing bidirectional EVs as resources capable of both receiving and discharging electricity.

This language establishes that EVs should be treated as grid resources. If EVs are treated solely as a controllable load, programs will focus on incremental peak reduction through managed charging. If EVs are treated as grid resources, program design expands to include dispatchable capacity, targeted peak reduction, and integration into virtual power plant structures. **The Commission should ensure that DRIVE Act programs are designed and evaluated in a manner that reflects this intent.**

Rising capacity costs in PJM create a need to bring additional flexible capacity onto the system in a cost-effective manner. Research from New York³ and Massachusetts⁴ among others finds that electric vehicles represent the largest source of flexible demand on the system, driven by their scale, high availability, and multi-kilowatt capability. Compared to traditional curtailment-based demand response resources, these characteristics allow EVs to deliver capacity more efficiently and with lower administrative cost per kW.

In the near term, the most practical pathway to capture this value is the expansion of managed charging. Managed charging is commercially available, has demonstrated customer acceptance, and can be scaled across a large number of participants, providing a direct path to increased participation and measurable peak reduction in the 2026 through 2028 timeframe.

At the same time, program design should explicitly enable bidirectional EVs at program inception as VGIC recommended in our February 23rd comments in response to the EDC’s revised DRIVE Act pilot proposals.⁵ This capability exists today and allows EVs to operate as

² Maryland General Assembly, October 2024, Electricity – Tariffs, Distributed Energy Resources, and Electric Distribution System Support Services (Distributed Renewable Integration and Vehicle Electrification (DRIVE) Act available at <https://mgaleg.maryland.gov/mgaweb/Legislation/Details/hb1256?ys=2024RS>.

³ The Brattle Group, January 202, New York’s Grid Flexibility Potential, Volume 1: Summary Report available at <https://www.brattle.com/wp-content/uploads/2025/02/New-Yorks-Grid-Flexibility-Potential-Volume-I-Summary-Report.pdf>.

⁴ Massachusetts Department of Energy Resources, December 2025, Peak Potential: Load Management for an Affordable Net-Zero Grid available at <https://www.mass.gov/doc/doer-peak-potential-report-and-policy-recommendations/download>.

⁵ Vehicle Grid Integration Council, February 23, 2026, Vehicle Grid Integration Council - Comments. Case No. 9761 (ML 327372) available <https://webpscxb.pscmaryland.com/DMS/case/9761>.

dispatchable grid resources, providing peak capacity and supporting both bulk system and distribution system needs.

Maryland should prioritize EVs as a core part of its demand side strategy by scaling managed charging programs and launching DRIVE Act pilots with bidirectional charging. This approach provides the fastest and most cost-effective pathway to add flexible capacity and reduce upward pressure on rates.

VI. Conclusion

VGIC appreciates the opportunity to provide comments in response to the EDCs' filings submitted pursuant to the Commission's Notice of Public Hearing and Initiating Public Conference 77. As the Commission considers the proposed alignment of EmPOWER and DRIVE Act programs, it should focus on advancing coordination that improves participation and performance without delaying implementation, while ensuring that DRIVE Act programs are designed consistent with legislative intent. EVs, through both managed and bidirectional charging, represent a practical and scalable pathway to deliver flexible capacity and support system needs, delivering cost savings for all Maryland ratepayers. VGIC looks forward to continued collaboration with the Commission and stakeholders to support effective implementation of the DRIVE Act and the integration of EVs as grid resources.

Sincerely,



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